

THE UNIVERSITY OF TEXAS AT DALLAS

ANNUAL FINANCIAL REPORT

UNAUDITED

FISCAL YEAR ENDED AUGUST 31, 2018



The University of Texas at Arlington ♦ The University of Texas at Austin ♦ The University of Texas at Brownsville ♦ The University of Texas at Dallas ♦ The University of Texas at El Paso ♦ The University of Texas - Pan American ♦ The University of Texas of the Permian Basin ♦ The University of Texas at San Antonio ♦ The University of Texas at Tyler ♦ The University of Texas Southwestern Medical Center at Dallas ♦ The University of Texas Medical Branch at Galveston ♦ The University of Texas Health Science Center at Houston ♦ The University of Texas Health Science Center at San Antonio ♦ The University of Texas M. D. Anderson Cancer Center ♦ The University of Texas Health Science Center at Tyler ♦ The University of Texas System Administration

THE UNIVERSITY OF TEXAS AT DALLAS
FINANCIAL STATEMENTS
(WITH DETAILED SUPPORTIVE SCHEDULES)

Presented herein are the financial statements with detailed supportive schedules for The University of Texas Dallas for the year ended August 31, 2018. These Statements and detailed supportive schedules have been prepared in compliance with applicable State statutes, Governmental Accounting Standards Board pronouncements, and the Texas Comptroller of Public Accounts' Annual Financial Reporting Requirements.

This "detailed internal report" supplements the consolidated published Annual Financial Report of The University of Texas System and is intended to be for limited distribution primarily to financial and academic officers of the University who need access to the details included herein. It also provides an historical record of transactions relating to this particular institution.

The Annual Financial Report for public distribution for The University of Texas System includes primary statements on a consolidated System-wide basis, including footnotes and Managements' Discussion and Analysis.

THE UNIVERSITY OF TEXAS SYSTEM
BOARD OF REGENTS
As of August 31, 2018

Officers

Sara Martinez Tucker, Chairman
Paul L. Foster, Vice Chairman
Jeffery D. Hildebrand, Vice Chairman
Francie A. Frederick, General Counsel to the Board of Regents

Members

*Terms scheduled to expire February 1, 2019**

Paul L. Foster	El Paso
Jeffery D. Hildebrand	Houston
Ernest Aliseda	McAllen

*Terms scheduled to expire February 1, 2021**

R. Steven “Steve” Hicks	Austin
David J. Beck	Houston
Sara Martinez Tucker	Dallas

*Terms scheduled to expire February 1, 2023**

Janiece Longoria	Houston
Kevin P. Eltife	Tyler
James Conrad “Rad” Weaver	San Antonio

*Term scheduled to expire May 31, 2019**

Brittany E. Jewell (Student Regent)	Pearland
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*Each Regent’s term expires when a successor has been appointed, qualified, and taken the oath of office.
The Student Regent serves a one-year term.

THE UNIVERSITY OF TEXAS SYSTEM
SENIOR ADMINISTRATIVE OFFICIALS
As of August 31, 2018

Larry R. Faulkner, Chancellor, *ad interim*

David E. Daniel, Deputy Chancellor

Raymond S. Greenberg, Executive Vice Chancellor for Health Affairs

Scott C. Kelley, Executive Vice Chancellor for Business Affairs

Steven W. Leslie, Executive Vice Chancellor for Academic Affairs

Stephanie A. Bond Huie, Vice Chancellor for Strategic Initiatives

David L. Lakey, Vice Chancellor for Health Affairs and Chief Medical Officer

Barry R. McBee, Vice Chancellor and Chief Governmental Relations Officer

Randa S. Safady, Vice Chancellor for External Relations

Daniel H. Sharphorn, Vice Chancellor and General Counsel

William H. Shute, Vice Chancellor for Federal Relations

Amy Shaw Thomas, Vice Chancellor for Academic and Health Affairs

Thomas Britton “Britt” Harris IV, Chief Executive Officer and Chief Investment Officer–UTIMCO

THE UNIVERSITY OF TEXAS AT DALLAS

PRINCIPAL ADMINISTRATIVE OFFICERS

As of August 31, 2018

Richard C. Benson	President
Hobson Wildenthal	Executive Vice President
Inga H. Musselman	Vice President for Academic Affairs and Provost
Frank Feagans	Vice President of Information Technology
Joseph J. Pancrazio	Vice President for Research
Calvin D. Jamison	Vice President for Facilities and Economic Development
Terry A. Pankratz	Vice President for Budget and Finance
Gene Fitch	Vice President for Student Affairs
Amanda O. Rockow	Vice President for Public Affairs
John Walls	Vice President for Communications
George Fair	Vice President for Diversity and Community Engagement
Kyle Edgington	Vice President for Development and Alumni Relations

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The University of Texas at Dallas
Exhibit A Statement of Net Position
As of August 31, 2018

	Current YearTotals	Prior YearTotals
ASSETS AND DEFERRED OUTFLOWS		
Current Assets:		
Cash & Cash Equivalents	70,511,561.32	102,877,537.09
Restricted Cash & Cash Equivalents	(3,249,446.44)	2,369,055.65
Balance in State Appropriations	7,329,140.23	5,559,056.43
Accounts Receivable, Net:		
Federal (allow. \$0.00 in 2018 & \$0.00 in 2017)	18,084,569.84	7,690,117.89
Other Intergov. (allow. \$0.00 in 2018 & \$0.00 in 2017)	462,533.37	293,793.67
Student (allow. \$2,555,079.49 in 2018 & \$2,250,880.38 in 2017)	34,569,820.64	40,547,791.46
Interest and Dividend Receivables	649,565.57	505,307.92
Contributions (allow. \$573,450.62 in 2018 & \$238,160.89 in 2017)	10,895,561.86	4,525,056.99
Other (allow. \$430,990.55 in 2018 & \$393,994.92 in 2017)	7,748,447.81	10,560,166.95
Due From System Administration	23,361,906.89	28,792,402.73
Due From Other Institutions	437,425.05	852,584.78
Due From Other Agencies	8,157,016.56	613,616.86
Inventories	232,719.66	279,376.46
Loans & Contracts (allow. \$195,209.54 in 2018 & \$341,162.72 in 2017)	10,096,328.10	11,119,485.38
Other Current Assets	8,749,099.87	10,596,616.64
Total Current Assets	<u>198,036,250.33</u>	<u>227,181,966.90</u>
Noncurrent Assets:		
Restricted Investments	35,989,937.08	30,084,521.08
Loans & Contracts (allow. \$379,782.70 in 2018 & \$280,092.21 in 2017)	1,266,026.86	1,451,303.03
Funds Held by System Administration (Restricted)	531,369,496.92	482,912,581.37
Contributions Rec. (allow. \$33,222.85 in 2018 & \$201,730.33 in 2017)	631,234.14	3,832,876.25
Unrestricted Investments	215,230,569.77	158,526,936.60
Other Noncurrent Assets	2.00	
Gross Capital/Intangible Assets	1,738,877,963.19	1,636,736,151.01
Accumulated Depreciation/Amortization	(631,215,593.49)	(556,985,839.31)
Total Noncurrent Assets	<u>1,892,149,636.47</u>	<u>1,756,558,530.03</u>
Total Assets	<u>2,090,185,886.80</u>	<u>1,983,740,496.93</u>
Total Assets and Deferred Outflows	<u>2,090,185,886.80</u>	<u>1,983,740,496.93</u>
LIABILITIES AND DEFERRED INFLOWS		
Current Liabilities:		
Accounts Payable and Accrued Liabilities	18,622,750.54	32,953,468.80
Salaries Payable	28,718,010.98	27,278,514.50
Due To System Administration	3,988,387.79	3,823,061.39
Due To Other Institutions	142,449.26	121,176.84
Due To Other State Agencies	28,652.98	26,141.88
Unearned Revenue	148,392,877.89	139,875,555.18
Employees' Compensable Leave - Current Portion	6,041,119.46	5,822,552.56
Notes, Loans, and Leases Payable	143,749.38	105,193.58
Payable From Restricted Assets	52,125.58	40,232.09
Assets Held for Others	445,704.84	594,739.24
Other Current Liabilities	112,258.50	
Total Current Liabilities	<u>206,688,087.20</u>	<u>210,640,636.06</u>
Noncurrent Liabilities:		
Employees' Compensable Leave	4,380,529.72	4,136,273.30
Liability to Beneficiaries		3,949.71
Notes, Loans, and Leases Payable	40,629.46	
Other Noncurrent Liabilities	693,582.50	
Total Noncurrent Liabilities	<u>5,114,741.68</u>	<u>4,140,223.01</u>
Total Liabilities	<u>211,802,828.88</u>	<u>214,780,859.07</u>
Total Deferred Inflows of Resources		<u>76,222.00</u>
Total Liabilities and Deferred Inflows	<u>211,802,828.88</u>	<u>214,857,081.07</u>
NET POSITION		
Net Investment in Capital Assets	1,107,477,990.86	1,079,645,118.12
Restricted for:		
Nonexpendable		
Permanent Health and True Endowments	275,963,582.15	266,685,696.29
Expendable		
Capital Projects	47,293,328.80	25,403,643.40
Funds Functioning as Endowment (Restricted)	38,863,408.60	37,236,789.45
Other Expendable	246,500,825.20	202,722,294.89
Unrestricted	162,283,922.31	157,189,873.71
Total Net Position	<u>1,878,383,057.92</u>	<u>1,768,883,415.86</u>

The University of Texas at Dallas
Exhibit B Statement of Revenues, Expenses, and Changes in Net Position
For the Year Ended August 31, 2018

	Current YearTotals	Prior YearTotals
Operating Revenues:		
Student Tuition and Fees	423,588,621.04	409,595,923.06
Discounts and Allowances	(101,644,269.00)	(100,825,686.60)
Federal Sponsored Programs	40,388,585.28	36,211,176.62
Federal Sponsored Programs Pass-Through from State Agencies	2,048,277.40	2,063,263.52
State Sponsored Programs Pass-Through from State Agencies	11,865,602.82	11,849,827.78
Local Sponsored Programs	50,753.10	59,639.22
Private Sponsored Programs	11,779,507.08	10,144,729.71
Sales and Services of Educational Activities	19,872,533.66	20,432,339.95
Auxiliary Enterprises	35,320,539.06	33,852,349.77
Other Operating Revenues	5,927,209.17	5,378,415.69
Total Operating Revenues	449,197,359.61	428,761,978.72
Operating Expenses:		
Instruction	197,171,847.70	192,808,403.78
Research	94,549,599.04	90,243,541.98
Public Service	12,726,440.85	9,748,170.14
Academic Support	64,232,144.98	67,232,483.90
Student Services	19,353,129.57	20,497,693.49
Institutional Support	45,008,992.23	41,193,293.03
Operations and Maintenance of Plant	37,904,580.38	35,277,933.97
Scholarships and Fellowships	43,905,800.84	36,605,647.44
Auxiliary Enterprises	50,600,216.64	45,501,167.68
Depreciation and Amortization	80,250,469.37	73,377,371.67
Total Operating Expenses	645,703,221.60	612,485,707.08
Operating Income (Loss)	(196,505,861.99)	(183,723,728.36)
Nonoperating Revenues (Expenses):		
State Appropriations	108,844,759.57	106,110,919.05
Federal Nonexchange Sponsored Programs	28,606,286.00	25,518,684.00
Federal Nonexchange Pass-Through		
State Nonexchange Pass-Through	150,000.00	7,728,439.51
Gift Contributions for Operations	14,891,971.61	12,737,150.13
Investment Income	32,448,011.51	32,625,995.89
Net Increase (Decrease) in Fair Value of Investments	34,225,009.79	35,815,150.00
Gain (Loss) on Sale of Capital Assets	(483,814.09)	(440,474.96)
Other Nonoperating Revenues	3,582,958.02	545,250.62
Other Nonoperating (Expenses)	(805,841.00)	(545,250.62)
Net Nonoperating Revenues (Expenses)	221,459,341.41	220,095,863.62
Income/(Loss) Before Other Revenue, Expenses, Gains/(Losses), and Transfers	24,953,479.42	36,372,135.26
Gifts and Sponsored Programs for Capital Acquisitions	28,033,785.10	28,189,904.34
Additions to Permanent Endowments	8,946,150.50	4,637,680.37
Reclass from/(to) Other Institutions	(7,860,710.12)	48,139,919.25
Capital Asset Purchases		
Transactions Between Funds		
Transfers Between Institutions & System, Debt Service - Mandatory	(63,869,459.91)	(56,901,622.49)
Transfers Between Institutions & System Admin. - Non mandatory	111,268,077.20	28,717,786.94
Transfers From Other State Agencies	8,032,969.84	5,879,412.31
Transfers to Other State Agencies	(4,350.47)	
Legislative Appropriations Lapsed	(299.50)	(959,070.33)
Transfers Between Funds		
Change in Net Position	109,499,642.06	94,076,145.65
Beginning Net Position	1,768,883,415.86	1,674,880,411.21
Restatements		(73,141.00)
Beginning Net Position (As Restated)	1,768,883,415.86	1,674,807,270.21
Ending Net Position	1,878,383,057.92	1,768,883,415.86

The University of Texas at Dallas
Exhibit C - Statement of Cash Flows
For the Year Ended August 31, 2018

	Current Year Totals	Prior Year Totals
Cash Flows from Operating Activities:		
Proceeds from Tuition and Fees	324,647,969.26	310,602,211.27
Proceeds from Sponsored Programs	48,023,354.08	71,870,170.24
Proceeds from Auxiliaries	51,383,347.30	34,781,979.63
Proceeds from Other Revenues	26,969,301.12	26,366,721.34
Payments to Suppliers	(176,763,258.28)	(166,238,772.62)
Payments to Employees	(388,937,003.68)	(371,677,691.23)
Payments for Loans Provided	(28,523,550.79)	(36,450,309.95)
Proceeds from Loan Programs	29,731,984.24	36,009,334.33
Net Cash Provided (Used) by Operating Activities	(113,467,856.75)	(94,736,356.99)
Cash Flows from Noncapital Financing Activities:		
Proceeds from State Appropriations	107,074,376.27	103,751,548.77
Proceeds from Operating Gifts	11,723,108.85	10,391,981.42
Proceeds from Private Gifts for Endowment and Annuity Life Purposes	8,946,150.50	4,637,680.37
Proceeds from Other Nonoperating Revenues	3,582,958.02	545,250.62
Receipts for Transfers from System or Other Agencies	16,798,713.88	15,240,868.73
Payments for Transfers to System or Other Agencies	(604,350.47)	(1,556,198.18)
Payments for Other Uses	(805,841.00)	(545,250.62)
Proceeds from Nonexchange Sponsored Programs	28,756,286.00	33,247,123.51
Net Cash Provided by Noncapital Financing Activities	175,471,402.05	165,713,004.62
Cash Flows from Capital and Related Financing Activities:		
Nonmandatory Capital Related Transfers	100,157,474.20	136,687,608.69
Proceeds from Capital Appropriations, Grants, and Gifts	28,033,785.10	28,189,904.34
Proceeds from Sale of Capital Assets	17,643.57	84,329.15
Payments for Additions to Capital Assets	(120,181,923.37)	(177,194,304.99)
Payments of Principal on Capital Related Debt	(42,814.65)	(104,458.19)
Mandatory Transfers to System for Capital Related Debt	(63,869,459.91)	(56,901,622.49)
Net Cash Provided (Used) by Capital and Related Financing Activities	(55,885,295.06)	(69,238,543.49)
Cash Flows from Investing Activities		
Proceeds from Sales of Investments Invested by System	-	-
Proceeds from Interest and Investment Income	10,296.63	160,649.36
Proceeds from Interest and Investment Income Invested by System	32,223,164.91	32,417,942.93
Payments to Acquire Investments Invested by System	(76,336,189.64)	(7,839,651.34)
Net Cash Provided (Used) by Investing Activities	(44,102,728.10)	24,738,940.95
Net Increase (Decrease) in Cash	(37,984,477.86)	26,477,045.09
Cash and Cash Equivalents (Beginning of the Year)	105,246,592.74	78,769,547.65
Cash and Cash Equivalents (End of the Year)	67,262,114.88	105,246,592.74
Reconciliation of Net Operating Revenues (Expenses) to Net Cash Provided (Used) by Operating Activities		
Operating Income (Loss)	(196,505,861.99)	(183,723,728.36)
Adjustments to Reconcile Operating Results to Net Cash:		
Depreciation and Amortization Expense	80,250,469.37	73,377,371.67
Changes in Assets and Liabilities:		
Accounts Receivable	(7,371,298.68)	7,404,768.69
Inventories	46,656.80	(34,267.25)
Loans and Contracts	1,208,433.45	(440,975.62)
Other Current and Noncurrent Assets	1,847,514.77	(1,578,622.99)
Accounts Payable	(2,746,049.50)	1,395,475.54
Due to System	165,326.40	330,145.14
Unearned Revenue	8,517,322.71	7,323,063.13
Assets Held for Others	(149,034.40)	61,322.97
Employees' Compensable Leave	462,823.32	1,168,452.33
Other Current and Noncurrent Liabilities	805,841.00	(19,362.24)
Total Adjustments	83,038,005.24	88,987,371.37
Net Cash Provided (Used) by Operating Activities	(113,467,856.75)	(94,736,356.99)
Non Cash Transactions:		
Net Increase (Decrease) in Fair Value of Investments	34,225,009.79	35,815,150.00
Capital Assets Acquired Under Capital Lease Purchases	121,999.91	-
Miscellaneous Noncash Transactions	(483,814.09)	(422,267.65)